Why published trading edges still work decades later

D. Martin (@dmartin_trading) · X post, 17 August 2026
https://x.com/dmartin_trading/status/2089351541203562918

I have multiple strategies in my portfolio that use almost the exact same rules as strategies published decades ago, yet they still work today.

The reason is that many durable edges fall into one or more of these categories:

1. Structural edge - Exists because of how markets are organized, including institutional flows, hedging, rebalancing, execution constraints or forced buying and selling.

2. Behavioral edge - Exists because investors repeatedly make similar mistakes: underreacting, overreacting, chasing performance, panicking, anchoring and herding.

3. Risk premium - You are being compensated for accepting a risk, drawdown profile or payoff structure that other investors are unwilling or unable to tolerate.

4. Capital constrained edge - The opportunity is profitable at smaller size but does not have enough capacity to matter to institutions managing billions.

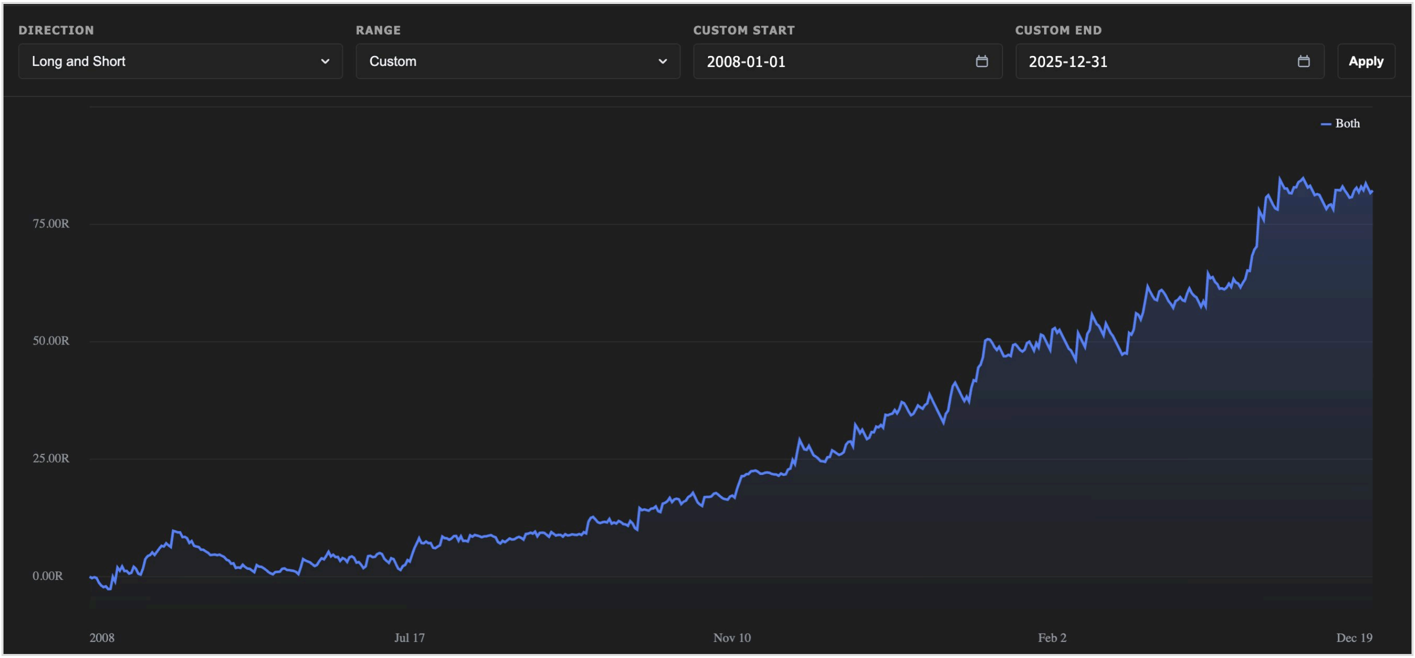
This is why, for most retail traders, sharing a strategy is unlikely to suddenly make the edge disappear or become "too crowded."

If you find a system that consistently makes money, it's probably not a secret. Institutions discovered some version of the underlying effect long before you did.

Once you understand this, the way you research and develop strategies becomes materially different. You realize searching for secret indicators and magical combinations of rules is usually the wrong focus. You start asking a much more important question:

What persistent market behavior or economic phenomenon is this strategy actually harvesting?

Below is a popular Larry Williams strategy published in the 90s. It still works from 2008 - today because this particular strategy captures a behavioral edge.



Equity curve (R multiples) of a Larry Williams strategy published in the 1990s, long and short, 2008-01-01 to 2025-12-31, as posted by the author.